

SLC Agrícola

Downgrading to Neutral: Lease Cost Hike Squeezes Returns on Third-Party Land

Neutral

Current Price R\$19.31

Target Price R\$21.00

BBG SLCE3 BZ

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SLC Downgrading After 20% Increase in Lease Costs with Terra Santa

Terra Santa, a listed farmland company that leases 39,000 hectares to SLC Agrícola, issued a material fact announcing an agreement to increase leasing costs from 17 to 20.5 bags of soybeans per hectare—a 21% hike. We are downgrading SLC from Outperform (R\$25/share target) to Neutral (R\$21/share target), as this renegotiation reduces earnings and lowers the returns on leased land.

Renegotiation with Terra Santa Could Signal Broader Repricing Risk

We believe that the revised contract with Terra Santa has broader implications for SLC, as the earlier contract was the company's largest lease agreement and a cornerstone of its shift toward a more asset-light model. Based on the latest land appraisal released by Terra Santa, SLC is now paying an implied take rate of 3.6% (assuming land valued at R\$135/bag of soybeans)—in line with its public contract with O51 Capital. As a result, we are revising our average take-rate assumption for SLC from 3.0% to 3.5%, reflecting a potential repricing trend throughout its leasing portfolio. Consequently, we are cutting our valuation of SLC's value creation over third-party farmland from R\$5.6 billion to R\$4.9 billion—equivalent to 7% of the company's market cap.

Trade War Still a Tailwind, but Fading Triggers and Cost Pressures Weigh

We continue to believe that SLC will be a structural beneficiary of the U.S.–China trade war, as Brazilian-origin soybeans could command a premium for longer. However, this upside appears priced-in, in our view, especially in light of recent BRL appreciation offsetting commodity price gains. The combination of rising lease costs, high capital commitments following recent acquisitions, and elevated freight expenses lead us to expect two years of negative free cash flow generation.

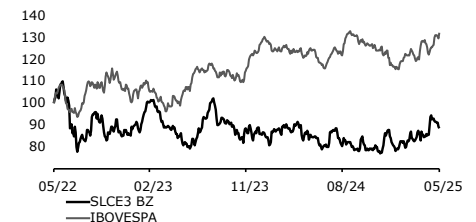
Downgrading to Neutral from Outperform

Lowering TP to R\$21.00, from R\$25.00

Previous rating was set on 01/25/2024

Previous TP was set on 03/13/2024

Relative Performance (R\$)



Source: FactSet.

Company Data, May 08, 2025 (closing price)

	SLCE3 BZ	(R\$ mn)	2023A	2024A	2025E	2026E
Bloomberg code	SLCE3 BZ					
Current Price	R\$19.31					
Target Price (YE 2025)	R\$21.00					
Price Perf Last 12 Mth (Absolute)	3.59%					
52 Week Range (R\$)	16.68 - 21.00					
Market Cap (R\$ mn)	8,493					
Free Float (%)	0.4					
3-Mth Avg daily vol (R\$ mn)	56					
Outst shares (mn)	440					
(R\$)	2023A	2024A	2025E	2026E		
Adj EPS	4.28	2.43	1.68	1.78		
BVPS	25.85	20.97	9.80	10.70		
DPS	3.30	2.22	0.79	0.84		
Revenues	7,231	6,916	7,538	8,745		
EBITDA	2,710	2,037	2,610	3,221		
EBIT	1,936	1,513	1,965	2,412		
Net Profit	896	509	738	785		
FCFE	(281)	701	(1,509)	(492)		
Net Debt	2,779	3,617	5,471	6,296		
P/E (x)	4.6	7.4	11.5	10.8		
EV/EBITDA (x)	2.5	3.6	5.3	4.6		
FCFE Yield (%)	(6.8)	18.6	(17.8)	(5.8)		
Div Yield (%)	15.3	11.2	4.1	4.3		
Net Debt/EBITDA (x)	1.0	1.8	2.1	2.0		

Sources: FactSet, Company Data and Santander estimates.

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Table 1. Key Company Data

	R\$			US\$		
	2024A	2025E	2026E	2024A	2025E	2026E
P&L Account						
Revenues	6,916	7,538	8,745	1,300	1,300	1,479
EBITDA	2,037	2,610	3,221	383	450	545
EBITDA YoY Change (%)	(24.8)	28.2	23.4	(29.1)	17.6	21.0
EBITDA as % of Revenue	29.4	34.6	36.8	29.4	34.6	36.8
EBIT	1,513	1,965	2,412	284	339	408
Net Financial Result	(999)	(899)	(1,282)	(188)	(155)	(217)
Associates	0	0	0	0	0	0
Taxes	(33)	(299)	(309)	(6)	(51)	(52)
Minorities	28	(30)	(35)	5	(5)	(6)
Net Profit	509	738	785	96	127	133
Adj Net Profit	509	738	785	96	127	133
YoY Change (%)	(43.2)	44.8	6.4	(46.4)	32.8	4.4
as % of Revenues	7.4	9.8	9.0	7.4	9.8	9.0
Cash Flow						
EBITDA	2,037	2,610	3,221	383	450	545
Lease Payments	(536)	(585)	(717)	(101)	(101)	(121)
Changes in Wkg. Capital	999	(241)	(188)	188	(41)	(32)
Capital Expenditures	(1,100)	(2,366)	(1,481)	(207)	(408)	(250)
Cash Financials	(999)	(899)	(1,282)	(188)	(155)	(217)
Cash Taxes	(32)	(299)	(309)	(6)	(51)	(52)
Other Cash Items	333	270	265	63	47	45
Free Cash Flow to Equity	701	(1,509)	(492)	132	(260)	(83)
Other Invest./(Divest.)	0	0	0	0	0	0
Dividends	424	347	369	80	60	62
Capital Increases/Other	10	0	0	2	0	0
Change in Net Fin. Debt	775	1,200	1,200	146	207	203
Balance Sheet						
Cash and Equivalents	1,980	1,326	1,701	341	229	282
Current Assets	6,411	6,392	6,976	1,105	1,102	1,157
Goodwill	122	122	122	21	21	20
Non-Curr Assets (ex g'will)	9,062	11,297	12,613	1,562	1,948	2,093
Total Assets	17,574	19,136	21,411	3,030	3,299	3,552
Current Liabilities	6,146	5,952	6,395	1,060	1,026	1,061
Non-Current Liabilities	7,324	8,735	10,139	1,263	1,506	1,682
Minorities	107	137	172	18	24	29
Shareholders' Equity	3,998	4,313	4,705	689	744	781
Total Liabilities & Equity	17,574	19,137	21,411	3,030	3,299	3,552
Net Financial Debt	3,617	5,471	6,296	624	943	1,045

Source: Company Data and Santander estimates.

Investment Case

We see a favorable combination of (i) growing areas, (ii) stable costs due to SLC's strategic input sourcing and (iii) well-executed hedging position, which should offset the impacts from weaker yields. Moreover, we expect SLC to capture 45% of the economic value of the land bank of the leased assets, while the company is currently trading at a ~30% discount to its owned land bank.

Key Value Drivers

SLC has outperformed Brazil's average productivity yields in 70% of its harvests since 2010. Moreover, we expect SLC to deliver a 7% return on its complete land bank (including owned and leased area), vs. its leasing cost of 3.2%, implying that the company has been able to capture ~30% of the value of leased land appraisal. As such, growing leased area could move the discount even higher, creating a positive balance of risks.

Investment Risks

Downside Risks: (i) a slowdown in cotton demand from Asia and deceleration of the apparel consumption in the U.S., (ii) inability to deliver the expected growth in leased areas, (iii) re-valuation of leasing costs, (iv) additional crop losses and (v) a bounce back of crop input prices. Upside Risks: (i) higher demand and prices of soft commodities from Brazil due to trade war, (ii) more depreciated BRL.

Catalysts

(i) Greater planted areas, (ii) growing yields, (iii) re-evaluation of SLC's landbank, (iv) higher commodities prices (corn, soybean, cotton), (v) U.S. economic growth and additional apparel demand in the country, (vi) a weaker BRL.

Company Description

SLC Agrícola is one of the world's largest grain and fiber producers, focused on the production of cotton, soybeans, and corn. It also owns the SLC Sementes brand, which produces and sells soybean and cotton seeds. The company owns 22 production sites in 7 Brazilian states, totaling 671,946 hectares (2021-22 crop). SLC's business model is based on a modern production system, with large-scale, standardized production units, high technology, strict control of costs, and social and environmental responsibility.

Santander vs. consensus

Figure 1 - SLC: 2025-2027E Santander Estimates vs VA Consensus (R\$m)

Consolidated	2025E			2026E			2027E		
	Santander	Consensus	Δ%	Santander	Consensus	Δ%	Santander	Consensus	Δ%
Net Revenue	7,538	7,734	-3%	8,745	8,530	3%	9,244	8,883	4%
Gross Profit	2,872	2,923	-2%	3,467	3,206	8%	3,503	3,222	9%
Gross Margin	38%	38%	0 p.p.	40%	38%	2 p.p.	38%	36%	2 p.p.
Adj. EBITDA	2,610	2,768	-6%	3,221	3,105	4%	3,293	3,170	4%
Adj. EBITDA Margin	35%	36%	-1 p.p.	37%	36%	0 p.p.	36%	36%	0 p.p.
Net Income	738	856	-14%	785	936	-16%	659	993	-34%

Source: Santander Estimates, Visible Alpha consensus

Changes in our estimates

We are updating our estimates to incorporate the following:

1. Updated cost of leasing and capex;
2. Higher freight prices;
3. Updated commodity prices and production;
4. Updated macro assumptions;

Figure 2 - SLC: 2025-2027E Earnings Estimates (R\$m)

BRL	2025E			2026E			2027E		
	New	Previous	Δ%	New	Previous	Δ%	New	Previous	Δ%
Net Revenue	7,538	7,793	-3%	8,745	8,432	4%	9,244	9,042	2%
Gross Profit	2,872	3,126	-8%	3,467	3,134	11%	3,503	3,255	8%
Gross Margin	38.1%	40.1%	-2 p.p.	39.6%	37.2%	2 p.p.	37.9%	36.0%	2 p.p.
EBITDA after Leasing	2,025	2,624	-23%	2,504	2,640	-5%	2,450	2,755	-11%
EBITDA Margin	26.9%	33.7%	-7 p.p.	28.6%	31.3%	-3 p.p.	26.5%	30.5%	-4 p.p.
Net Income	738	1,230	-40%	785	1,042	-25%	659	1,014	-35%

Source: Santander Estimates

Valuation

Our YE2025 target price is 50/50 blended between (i) an 4-year DCF-based valuation, and (ii) fair land value. Our DCF analysis considers: (i) ke of 17.9% and (ii) long-term growth rate of 6.5%. Our fair value of the land considers a post-tax value of R\$10.3 billion, with a leasing yield of 6.8% and leasing cost of R\$643 million. Downside Risks: (i) a slowdown in cotton demand from Asia and deceleration of the apparel consumption in the U.S., (ii) inability to deliver the expected growth in leased areas, (iii) re-valuation of leasing costs, (iv) additional crop losses and (v) a bounce back of crop input prices. Upside Risks: (i) higher demand and prices of soft commodities from Brazil due to trade war, (ii) more depreciated BRL.

Other companies mentioned

Terra Santa (LAND3 BZ, CP: R\$11.92, Not Rated)

051 Capital (Not Listed)

SLC Agrícola - Three-Year Stock Performance (R\$)



Sources: FactSet and Santander.

Valuation & Risks

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Under Review		3.06%	71.43%

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